ZAYO GROUP HOLDINGS, INC. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED STATEMENTS

The Company has not asserted indefinite reinvestment on its foreign subsidiaries and carries $0.8 million as a deferred tax liability for an estimate of the additional tax due upon actual repatriation.

The Company had gross unrecognized tax benefits of $15.7 million and $3.0 million, as of June 30, 2019 and June 30, 2018, respectively. The Company recognizes interest and penalties related to uncertain tax positions in income tax expense.

	June 30,	
	2019	2018
	(in millions)	
Balance at beginning of year	$ 3.0	$ 0.2
Additions for current year tax positions	1.5	1.2
Additions for prior year tax positions	11.5	1.7
Reductions as a result of settlement with tax authority	(0.3)	(0.1)
Balance at end of year	$ 15.7	$ 3.0
Interest and penalties included in balance	$ 2.2	$ 0.1
Amount, if recognized, would impact the effective income tax rate	10.0	1.8
Amount that could be settled within the next year	10.0	1.9

The Company files income tax returns in various federal, state, and local jurisdictions including the United States, Canada, United Kingdom and France. In the normal course of business, the Company is subject to examination by taxing authorities throughout the world. With few exceptions, the Company is no longer subject to income tax examinations by tax authorities in major tax jurisdictions for years before 2014.

Deferred income taxes reflect the tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The tax effect of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities are as follows:

	June 30,	
	2019	2018
	(in millions)	
Deferred income tax assets		
Net operating loss carry forwards	$ 367.5	$ 545.2
Tax credit carry forwards	12.9	17.9
Deferred revenue	333.2	299.3
Accrued expenses	39.7	38.1
Other liabilities	4.5	2.3
Reserves against accounts receivable	20.6	15.8
Deferred compensation	8.7	11.2
Total deferred income tax assets	787.1	929.8
Valuation allowance	(32.4)	(72.9)
Net deferred tax assets	754.7	856.9
Deferred income tax liabilities		
Property and equipment	589.9	675.8
Intangible assets	272.5	293.3
Debt issuance costs	2.4	2.4
Total deferred income tax liabilities	864.8	971.5
Less SRT deferred tax liabilities held for sale	—	(5.1)
Net deferred income tax liabilities	$ (110.1)	$ (109.5)